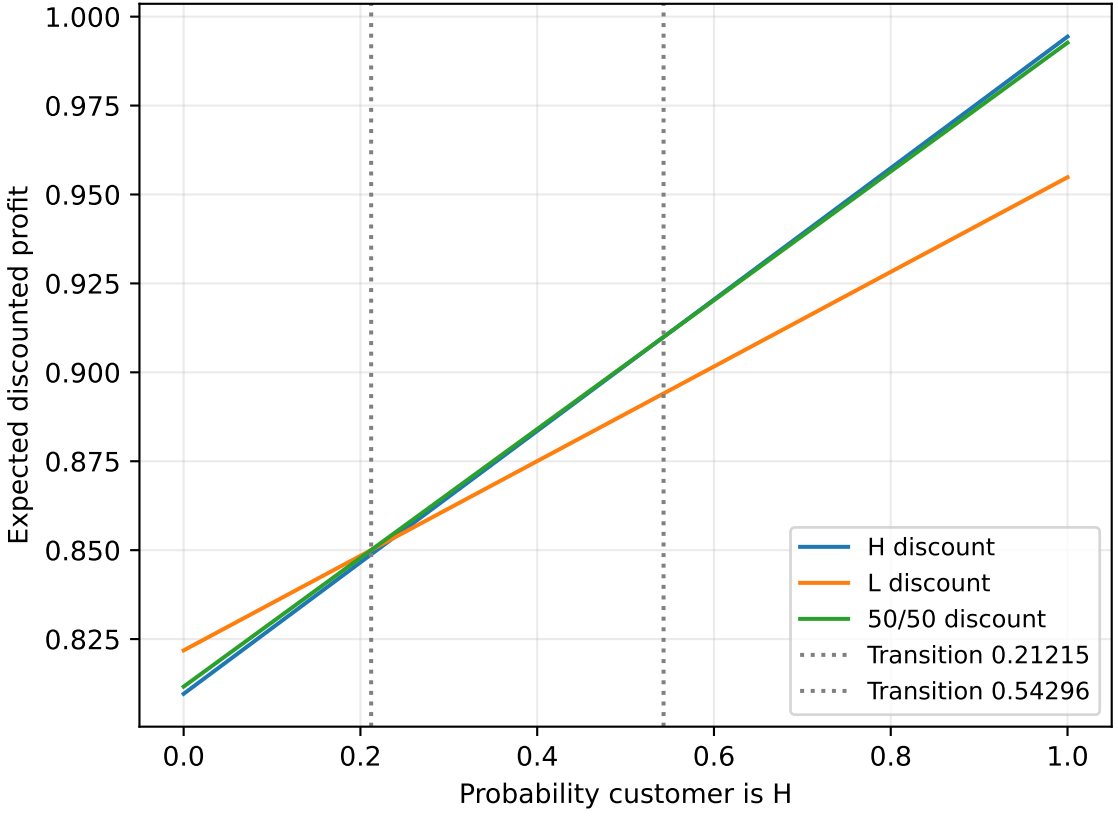
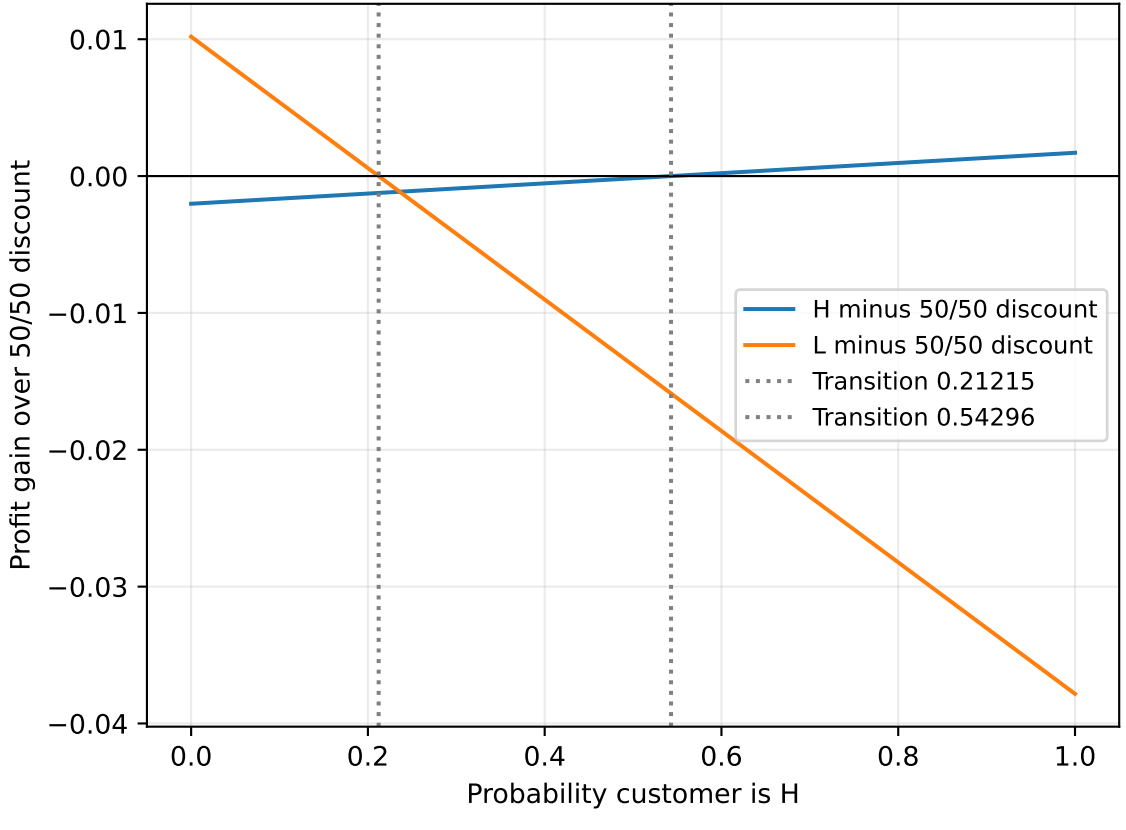

Expected discounted profit
1.000
0.975
0.950
0.925
0.900
0.875
0.850
0.825
0.0
0.2
0.4
0.6
0.8
1.0
Probability customer is H
H discount
L discount
50/50 discount
Transition 0.21215
Transition 0.54296


Profit gain over 50/50 discount
0.01
0.00
−0.01
−0.02
−0.03
−0.04
0.0
0.2
0.4
0.6
0.8
1.0
Probability customer is H
H minus 50/50 discount
L minus 50/50 discount
Transition 0.21215
Transition 0.54296